DEEP DIVE STRATEGY PRESENTATION

From challenger to a strong #2: SuperK-Taxi Korea Growth Strategy, H2 2024 – 2026

Back-to-basics liquidity • High-value segments • Korean-grade experience • Future-proof fleet & regulation

Prepared for: Korea CEO and Asia Regional Strategy Head
Prepared by: Head of Strategy, SuperK-Taxi (SuperK-T) Korea
Seoul, May 2024

Confidential – draft for discussion. Based on publicly available information as of May 2024; SuperK-T baselines proxied from public data (see Appendix A5). Targets are planning estimates.

EXECUTIVE SUMMARY

Kakao's moat is real, but its regulatory armour is cracking – we have an ~18-month window to build a defensible #2 by fixing supply first

WHERE WE STAND (CANDID)

- **Near-monopoly market:** Kakao T holds ~94% of general taxi-hailing and ~74% of franchise taxis; ~13.3m MAU vs. our **0.52m (≈25x gap)**, est. 3–4% of app-hailed trips.
- **Supply, not demand, is the binding constraint:** corporate-taxi drivers down 31% since Dec-2019 (102k → 70k); Seoul corporate fleet at 30–40% utilisation; Seoul late-night supply ~6,000 taxis/hr below pre-COVID.
- **The window is opening:** KFTC (self-preferencing fine, call-blocking case), FSS (accounting) and Presidential pressure on fees are constraining Kakao's playbook.
- **Our edge:** March-2024 rebrand puts us on a global app already on visitors' phones (20m visitor target in 2024), JV partner Tmap (74% of smartphone navigation), lowest franchise fee (2.5%).

WHAT WE WILL DO – THREE PILLARS

1. **Back-to-basics liquidity (from Aug-2024)**
   Win dense micro-zones before going wide (Seoul core 4 + Incheon Airport + Busan/Ulsan). Be drivers' **#1 second app** (earnings guarantees, 2.5% on app trips only, 0% on street hails, Tmap-native driver app) and fleets' growth partner (reactivate idle corporate taxis).
2. **Own high-value segments with Korean-grade UX**
   Inbound visitors, business accounts, late-night urban riders and Tmap's 15m-user base. Fix Korean UX basics: local ID & payments, Tmap POI search, senior-friendly driver app, 24/7 Korean CS.
3. **Future-proof the franchise**
   EV-first 'Green' fleet, premium/XL/reservation products, AV-pilot readiness in Seoul, and a 'Fair Platform Charter' that makes us regulators' preferred challenger.

DECISIONS REQUESTED TODAY

- **Approve a phase-gated KRW 160bn programme** (Aug-2024 – Dec-2025); release **KRW 45bn for Phase 1** (Aug–Dec 2024); remainder gated on Dec-2024 KPIs.
- **Endorse 'density before coverage':** no national blanket spend in 2024; concentrate 80% of incentives in 6 launch zones.
- **Mandate regional/global support:** visitor-traffic routing & airport partnerships, EV/AV partner access, a dedicated Korea UX product squad.
- **Agree regulatory posture:** proactive 'fair platform' coalition with MOLIT, KFTC and Seoul City.
- **Agree kill/re-scope criteria** at Gate 1 (Dec-2024): MAU ≥0.9m, core-zone ETA ≤6 min, dispatch success ≥75%.

AMBITION – A STRONG #2 BY END-2026

15%	3m	≤5 min	≥60%	≥35%
Seoul app-hailed trip share (from ~3–4%)	monthly active users (from 0.52m)	median peak pickup in core zones	EV share of branded fleet	net revenue from premium, B2B & ads

Jun–Jul 24 Prep & approvals

Aug–Dec 24 IGNITE: 6 launch zones; Gate 1

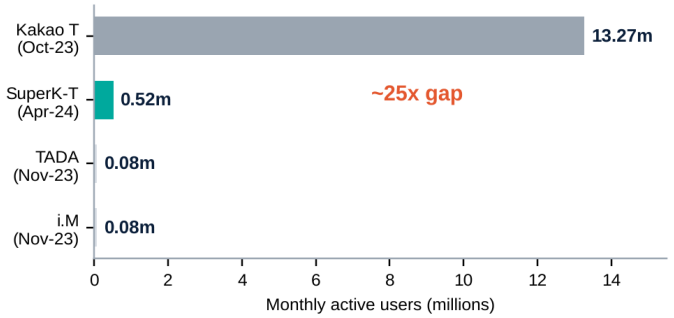
H1 2025 SCALE: Seoul-wide, B2B, Tmap bundle; Gate 2

H2 2025–26 LEAD #2: regional cities, premium, AV pilot

Sources: KFTC decisions (Feb-2023) and examiner's report (Jan-2024); OECD DAF/COMP/WP3/WD(2024)6; IGAWorks Mobile Index; National Joint Conference of Taxi Associations (NJCTA) via Seoul Shinmun (29-May-2024); Seoul Metropolitan Government; MCST/KTO (2024 visitor target). Targets are SuperK-T planning estimates.

Market reality: a near-monopoly where driver supply – not rider demand – decides who wins; regulatory and visitor tailwinds open a window

OUR POSITION: ~25x SMALLER THAN THE LEADER



Strengths to build on

- Global app & payments: zero friction for visitors; post-rebrand (Mar-24) brand recognition
- Lowest franchise fee: 2.5% vs Kakao 3–5% effective
- JV partner Tmap: 74% of smartphone-navigation users (incl. many drivers)

Weaknesses to fix

- Thin driver liquidity → long ETAs → low conversion (vicious cycle)
- Low top-of-mind among Koreans; perceived as 'the foreigners' app'
- Growth so far bought with broad, untargeted incentives

COMPETITIVE DYNAMICS: DOMINANT BUT CONSTRAINED

- **Kakao T:** 94.5% of general hailing (KFTC); Kakao T Blue grew from 14% to 74% of franchise taxis in 2019–21, aided by preferential dispatch per KFTC; ~50k Blue cars today.
- Super-app lock-in (taxi, designated driver, parking, navigation) on KakaoTalk identity; FY2023 revenue KRW 601.8bn, OP KRW 38.7bn (net-revenue basis).
- **But under regulatory siege:**
  - KRW 27.1bn KFTC fine for dispatch self-preferencing (2023; under appeal)
  - KFTC examiner's report (Jan-24): alleged blocking of general calls to rival franchise drivers; fine of KRW 20–35bn sought; consent-decree offer rejected
  - FSS: highest-tier accounting sanction proposed (Feb-24); revenue restated net
  - Presidential call for anti-monopoly action → new 2.8% franchise-fee product (agreed Dec-23, roll-out mid-2024)
- **Long tail sub-scale:** TADA & i.M ~0.08m MAU each; Banban/Macaron effectively exited → **the #2 slot is ours to take**.

PRIMARY CHALLENGES

- **Ageing, shrinking supply:** 236k taxi drivers (-10% vs Jan-20); corporate 70.4k (-31%); ~half of individual drivers 65+ (KTSA)
- **Habit & multi-homing friction:** drivers keep Kakao on; riders default to Kakao
- **Regulated fares, 2.5–3% take-rates:** thin unit economics – incentives must be surgical
- **Policy flux:** 40h/week monthly-wage rule due nationwide 20-Aug-24; NJCTA & unions demand revision

KEY OPPORTUNITIES

- **Visitors:** 11.0m (2023) → 20m govt target (2024); Q1-24 3.4m
- **Unmet demand:** late-night/peak gaps; Seoul 22.6k corporate licences at 30–40% utilisation
- **EV shift:** 38% of new taxi registrations EV (Jan–Aug-23); +KRW 2.5m taxi subsidy top-up (2024)
- **Pro-competition policy momentum** after KFTC/FSS actions

~250k
taxi licences nationwide (~2/3 individual)

236k
taxi drivers, Dec-23 (-10% vs Jan-20)

30–40%
Seoul corporate-taxi utilisation

-6k/hr
Seoul late-night taxis vs pre-COVID

2.5–5%
effective platform take-rates on regulated fares

20m
inbound-visitor target for 2024

STRATEGIC IMPERATIVES

1. **Win liquidity zone-by-zone – density beats coverage**
2. **Become drivers' #1 second app and fleets' growth partner**
3. **Own under-served, higher-value segments (visitors, business, late-night)**
4. **Turn regulation into a tailwind – the 'fair platform' champion**

Sources: IGAWorks Mobile Index (Kakao T Oct-2023; TADA, i.M Nov-2023; SuperK-T Apr-2024); KFTC press release 14-Feb-2023 & OECD note (2024); TV Chosun/Public News 30-Jan-2024; Kakao Mobility FY2023 business report; InvestChosun 7-Apr-2024; Mirae Asset (29-Nov-2023); NJCTA (Dec-2023, Mar-2024); KTSA; Maeil Shinmun 9-May-2024; MCST/KTO (29-Apr-2024); Consumer Insight (4-Mar-2024); CarIsYou Data Lab (Sep-2023); Ministry of Environment (Feb-2024).

Supply first: become every driver's #1 second app, reactivate idle corporate taxis and add +5,000 branded (EV-first) vehicles by Dec-2025

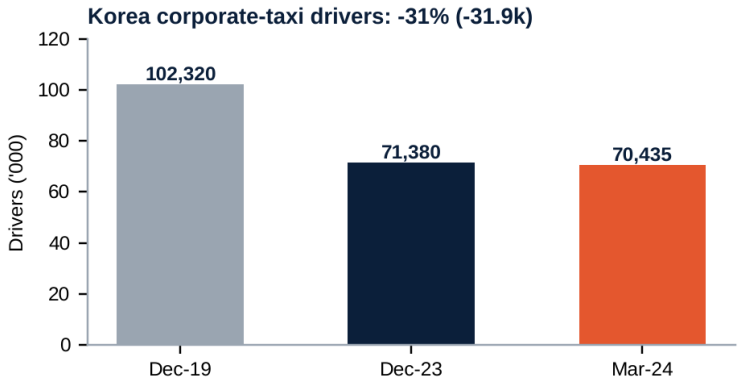
Lever	What we will do (from Aug-2024)	Target (Dec-2025)
S1 'Best second app' for ~165k individual owner-drivers	• Fee: 2.5% on SuperK-T app trips only; 0% on street hails and other apps • Earnings guarantees & quests only where demand exceeds supply (e.g., Fri/Sat 22:00–02:00 in Gangnam, Hongdae, Itaewon) • Next-day settlement; fuel/charging & car-care discounts via partner network • Senior-friendly driver app: large type, voice accept, Tmap turn-by-turn built in, one-tap Korean CS	Monthly active drivers 2.5x baseline; ≥40% of core-zone peak hours online on SuperK-T
S2 Fleet Partner Programme – reactivate idle corporate taxis	• Seoul: 22.6k corporate licences at 30–40% utilisation → >12k cars idle on a typical day • Co-fund recruitment with 30–50 partner fleets: sign-on & referral bonuses, training, night/part-time shifts • Online-hour-linked revenue share + fleet dashboards; flexible-shift playbooks ahead of the 40h/week wage rule	+3,000 reactivated vehicles (Seoul, Busan)
S3 New-driver pipeline (KTSA licence data)	• Licence test-takers rose 27k → 41k (2020–22): recruit at KTSA test centres; 'first 100 trips' bonus & mentoring • Target early retirees (50s), part-timers and women drivers; EV lease-to-own with partner financing	6,000 new-to-industry drivers onboarded
S4 Branded franchise fleet & EV	• Convert high-performing multi-homers to SuperK-T Taxi (wrap, device, auto-dispatch) • EV bundle: subsidy navigation (+KRW 2.5m national taxi top-up), charging credits, priority 'Green' dispatch	+5,000 franchise vehicles, ≥45% EV

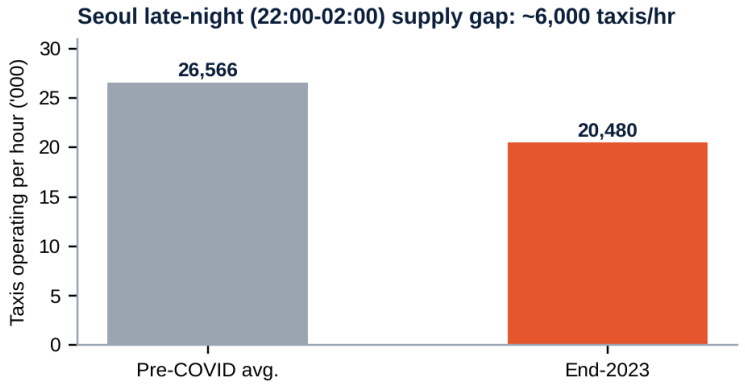
DRIVER VALUE PROPOSITION VS. LEADER

	Kakao T (today)	SuperK-T (Aug-24)
Franchise fee	20% royalty less 15–17% rebate ≈ 3–5% effective; 2.8% product pending	2.5%, on app trips only
Street-hail revenue	Royalty base = total fare revenue	0% – never charged
Multi-homing	General calls allegedly blocked for non-partner franchise drivers (KFTC case)	Open – drivers free to use any app
Earnings support	Scale-driven call volume	Zone/hour guarantees, quests, next-day payout

Supply math – why this is the battleground

- Korea corporate-taxi drivers: 102.3k (Dec-19) → 70.4k (Mar-24), -31%; Seoul 30.5k → 20.1k
- Corporate drivers' income fell ~11% (KRW 2.48m → 2.20m/month) after the flat-fee ban – they left for delivery/logistics
- Seoul late-night: 20.5k taxis/hr vs 26.6k pre-COVID – every car we add at night is incremental, not cannibalised
- Implication: whoever adds online driver-hours in the right zone/hour wins ETA, and ETA wins riders





Sources: NJCTA 'Taxi vehicles & drivers' (Dec-2019 – Mar-2024) via Seoul Shinmun 29-May-2024 and NewDaily 14-Feb-2024; Seoul Metropolitan Government taxi licence statistics (2023); KTSA taxi-licence test statistics (2020–22); Mirae Asset (29-Nov-2023); InvestChosun (7-Apr-2024); KFTC examiner's report (Jan-2024, as reported); Ministry of Environment 2024 EV subsidy scheme; MOLIT study on corporate-taxi wage system (via Edaily, Mar-2024).

Win four high-value segments with a Korean-grade experience, run by a zone-level 'liquidity war room' that funds only what moves ETA

Segment	Why it is winnable	Plays (H2-2024 → 2025)	Dec-25 target
D1 Inbound visitors	11.0m visitors (2023) → 20m target (2024); our global app is already installed and carded	Incheon/Gimpo pick-up zones with multilingual staff; hotel, OTA, K-culture & medical-tourism partners; in-app translated chat; airport reservations	Visitor trips 3x H1-24; #1 app among foreign visitors
D2 Business & corporate	Expense-driven, less price-sensitive, high frequency; Kakao's B2B is not differentiated	'SuperK-T for Business': central billing, e-tax receipts, ERP/expense integration; anchor clients in JV partner's group; global accounts travelling to Korea	1,500 corporate accounts; B2B ≥15% of GBV
D3 Late-night & peak urban riders (20–40s)	Seoul runs ~6,000 taxis/hr short at night; pain is acute and visible	'Pickup promise' in core zones (ETA guarantee or coupon); Fri/Sat night campaigns in Gangnam, Hongdae, Itaewon, Yeouido; advance booking	Late-night dispatch success ≥85% in core zones
D4 Tmap's mainstream Korean users	Tmap = 74% of smartphone navigation; ~15m MAU drivers & families	Taxi entry point inside Tmap (airport, parking, 'after drinks' moments); bundled membership (taxi discounts + Tmap perks); referral loops	2.0m MAU (from 0.52m)

Brand repositioning: from 'the foreigners' app' to 'Korea's fair, reliable second choice'

- **Message pillars:** 'Fair to drivers' (no call-blocking, fees on app trips only) • 'There when you need it' (pickup promise) • 'One app wherever you travel' (same app in 70+ countries)
- **Channels:** Tmap in-app placements; out-of-home at subway hubs and airports; wrapped franchise cars as moving billboards; K-culture partnerships for visitors
- **Tactics:** Korean-first creative and CS voice; driver-led referral ('your driver's code' = 3 discounted rides); campaigns timed to Chuseok, year-end parties and rainy-season peaks

KOREAN-GRADE UX: FIX THE BASICS IN 90 DAYS

- **30-second sign-up** with Korean mobile ID (PASS) and phone number – no foreign-style email flows
- **Local payments:** Naver Pay, Toss Pay, Samsung Pay, corporate cards; automatic e-receipts
- **Korean POI search powered by Tmap:** building names, subway exit numbers, apartment-complex gates
- **Transparent fares:** estimate incl. Seoul late-night surcharge (up to 40%) and call fees
- **Korean must-haves:** call-for-parents, reservations, favourite places, trip-sharing with family, women-safety features
- **In-app lost & found + 24/7 Korean-language CS** (chat and phone)
- **Bar:** app-store rating ≥4.6; rider NPS above Kakao in core zones by Dec-25

OPERATIONAL EXCELLENCE SYSTEM – 'DENSITY BEFORE COVERAGE'

Launch zones (Aug-24)

- Seoul: Gangnam/Seocho, Jongno/Jung/Myeong-dong, Mapo/Hongdae, Yongsan/Itaewon
- Incheon Airport + Gimpo
- Busan/Ulsan (existing share) as 'fortress' region

Liquidity war room

- Hex-level supply/demand heat maps, daily ETA & fill-rate targets
- Zone GMs own P&L of incentives
- Driver pre-positioning before demand peaks (concerts, rain, last subway)

Weekly KPI cadence

- Median pickup ETA, dispatch success, cancellations
- Driver online hours & churn
- Cost per incremental trip (CPIT) with holdout tests – kill spend above threshold

Quality & support

- Offline driver hubs (Gangnam, Mapo, Busan) for onboarding, wraps, help
- Driver scoring, refusal penalties, cleanliness audits
- Two-way ratings; safety incident SLA < 1 hr

Sources: MCST/KTO visitor statistics & 2024 target; Consumer Insight smartphone-navigation survey (4-Mar-2024); NewDaily (14-Feb-2024) citing NJCTA/Seoul City late-night data; Seoul Metropolitan Government fare reform (Feb-2023); SuperK-T rebrand announcement (29-Feb-2024). Targets are SuperK-T planning estimates.

Future-proofing: build advantages Kakao cannot easily copy – a green fleet, premium & multimodal products, AV readiness and regulatory trust

F1 Sustainability: 'SuperK-T Green'

- EVs = 38% of new taxi registrations (Jan–Aug 2023), but corporate fleets lag (~10% of new EV taxis) – our opening
- Fleet-partner EV leasing + depot charging; charging credits & priority dispatch for EV drivers
- 'Green' ride option; CO2 reports for B2B clients (Scope 3 business travel)
- Help drivers stack subsidies (national taxi top-up KRW 2.5m + city grants)
- Eco-driving & safety scores (Tmap driving-score technology) built into driver rewards

Target: ≥60% EV in branded fleet by 2026; 100% EV for new franchise cars from 2025

F2 Product & revenue innovation

- Premium tiers: Black (executive), XL/van (visitors with luggage, families, groups), Pet, airport reservation
- Membership bundled with Tmap perks; in-car & wrap advertising; mobility data services
- Pre-arrival booking: visitors schedule airport transfers in the global app before landing
- Rationale: a ~2.5% take on regulated fares cannot fund growth alone

Target: Premium + B2B + ads ≥35% of net revenue by 2026

F3 Technology & autonomy readiness

- AI dispatch & demand forecasting tuned to dense Korean grids; driver pre-positioning
- Seoul AV pilot zones (e.g., Gangnam, Sangam): bid to dispatch AVs on our network – a hybrid human + AV fleet
- Leverage parent's global AV/EV partnerships; real-time KO↔EN/JA/ZH translation
- Telematics safety layer for an ageing driver base (fatigue alerts, harsh-braking coaching)

Target: First AV rides dispatched on SuperK-T in a Seoul pilot zone by 2026

F4 Regulatory leadership & ecosystem

- 'Fair Platform Charter': no call-blocking, open multi-homing, published dispatch principles, fees only on app trips
- Co-design flexible shifts under the 40h/week wage rule to lift corporate utilisation
- Driver welfare & safety: health/fatigue checks aligned with KTSA senior aptitude tests; accident cover; rest lounges
- Explore Type 1 (platform transport) licence for vans/premium where economics work

Target: Recognised by MOLIT/KFTC/Seoul as the reference challenger

LONG-TERM AMBITION (2027+)

Market
#2 nationally with ≥20% share in Seoul, Busan and Incheon; #1 for visitors and business travel

Economics
Korea P&L profitable on contribution margin by 2026 and EBITDA-positive by 2027 via mix shift to premium, B2B and ads

Moat
Fleet-partner contracts, EV economics and regulatory trust – assets that outlast incentive wars

Showcase
Korea as the Asia template for licensed-taxi platforms (alongside Japan, Hong Kong, Taiwan)

Sources: CarIsYou Data Lab via Economist Korea (30-Sep-2023); Ministry of Environment 2024 EV subsidy reform (6-Feb-2024); Mirae Asset (29-Nov-2023) on platform take-rates; Passenger Transport Service Act (amended 2020); Seoul Metropolitan Government autonomous-driving pilot-zone programme; KTSA senior-driver aptitude testing; Taxi Development Act (Art. 11-2). Targets are planning estimates.

Execution: a phase-gated KRW 160bn programme from August 2024, with hard KPI gates in Dec-2024 and Jun-2025

ROADMAP

Phase 0 PREP Jun–Jul 2024	Internal baselines; zone selection; driver-app UX sprint; 10+ fleet-partner LOIs; Tmap entry-point spec; budget approval
Phase 1 IGNITE Aug–Dec 2024	6 launch zones live; driver guarantees & fleet programme; Korean UX release 1; airport ops; Chuseok & year-end late-night campaigns; GATE 1 (Dec)
Phase 2 SCALE Jan–Jun 2025	Seoul-wide + south Gyeonggi; membership & Tmap bundle; SuperK-T for Business; EV leasing; premium XL; GATE 2 (Jun)
Phase 3 LEAD #2 Jul 2025 – 2026	Busan, Incheon, Daejeon, Daegu; AV pilot bid; mix shift to premium/B2B/ads; contribution-margin breakeven

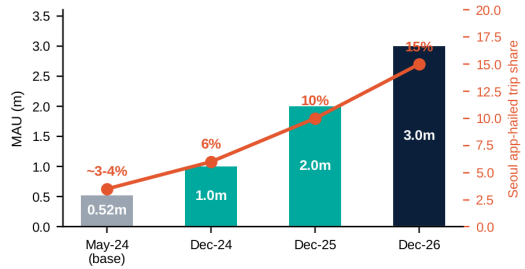
KPI SCORECARD

KPI	Baseline (May-24)	Dec-24 (Gate 1)	Dec-25	Dec-26
Monthly active users	0.52m	≥0.9–1.0m	2.0m	3.0m
Seoul app-hailed trip share	~3–4% (est.)	6%	10%	15%
Monthly active drivers (index)	100	150	250	350
Median peak pickup ETA, core zones	validate	≤6 min	≤5 min	≤4 min
Dispatch success, core zones (peak/night)	validate	≥75%	≥85%	≥90%
Branded franchise vehicles (net adds) / EV share	–	+1,500 / 30%	+5,000 / 45%	+8,000 / 60%
Corporate accounts / B2B share of GBV	–	300 / 5%	1,500 / 15%	3,000 / 20%

Organisation & governance

- **Korea Growth Office** led by the CEO: Head of Supply & Fleet Partnerships, Head of Visitors & B2B, zone GMs (6), Korea UX product squad (~25 FTE incl. regional engineers)
- **Cadence:** daily zone war room • weekly KPI review • monthly CEO business review • quarterly gate review with Asia Regional Strategy

TRAJECTORY TO A STRONG #2



INVESTMENT: KRW 160bn (AUG-24 – DEC-25)

Use of funds	KRW bn	%
Driver supply & fleet partners (guarantees, recruitment, EV)	70	44%
Rider acquisition & retention (incl. Tmap bundle, visitors)	40	25%
Product, Korean UX & data/dispatch tech	22	14%
B2B, tourism & airport partnerships	13	8%
Ops excellence (CS, driver hubs, quality)	10	6%
Regulatory, ESG & AV pilots	5	3%

Phasing: P1 KRW 45bn (Aug–Dec 24) • P2 KRW 55bn (H1-25) • P3 KRW 60bn (H2-25), each released only on gate KPIs.

TOP RISKS & MITIGATIONS

- **Kakao counter-attack** (2.8% fee, incentives) → multi-year fleet contracts; compete on earnings/hour; escalate unfair practices to KFTC
- **Incentive burn** → holdouts, CPIT ceilings, shift to structural edges (visitors, B2B)
- **Wage-rule shock (Aug-24)** → owner-driver focus; flexible-shift advocacy with NJCTA
- **'Foreign app' perception** → Korean-first brand, CS and partners

Sources: SuperK-T planning estimates; baseline MAU from IGAWorks Mobile Index (Apr-2024); Seoul share baseline estimated from MAU ratios; regulatory dates per Taxi Development Act and NJCTA statements (May-2024). All financials are indicative and subject to bottom-up validation with Finance.

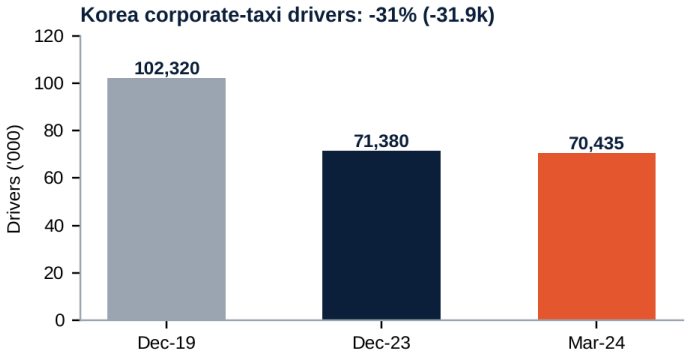
DISCUSSION & Q&A

Questions for the CEO and Asia Regional Strategy Head

1	**Risk appetite**	Are we prepared to fund ~KRW 160bn and accept negative contribution in 2024 to reach 10% Seoul share by Dec-2025?
2	**Focus**	Do we agree to 'density before coverage' – six launch zones only in 2024, even if national MAU grows more slowly?
3	**Global leverage**	Can the region prioritise Korea for visitor-traffic routing, airport partnerships and EV/AV partner access?
4	**JV partner**	How deep can the Tmap integration go (in-app taxi entry point, bundled membership, driver-side navigation)?
5	**Regulatory posture**	Do we lead a visible 'fair platform' coalition with MOLIT, KFTC and Seoul City, or stay low-profile?
6	**Kill criteria**	Which KPI miss at Gate 1 (Dec-2024) should trigger re-scoping rather than more spend?

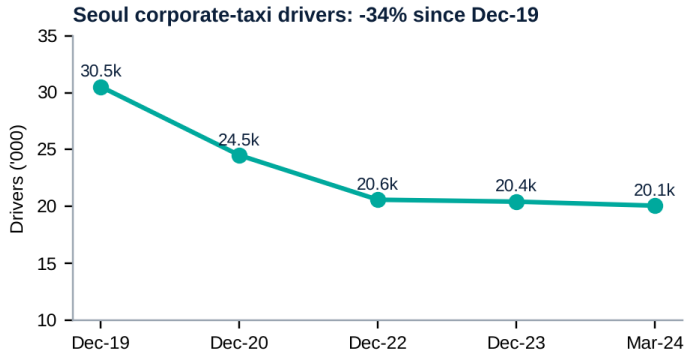
Appendices follow: A1 Supply deep-dive • A2 Regulatory landscape • A3 Competition & demand • A4 Investment & unit economics • A5 Sources & methodology

Supply deep-dive: the driver base is shrinking and ageing, yet licences and latent drivers exist – the gap is activation, not permits



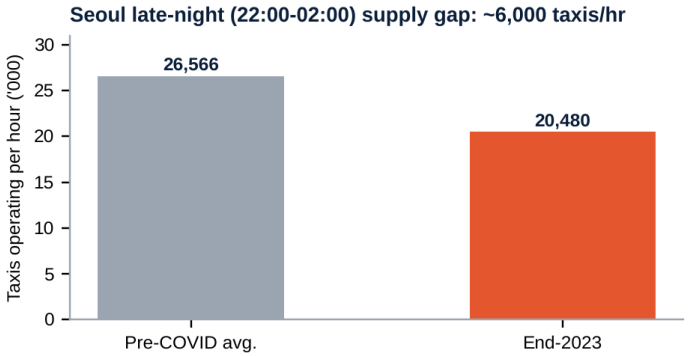
So what

- Flat-fee (sanapgeum) ban and COVID pushed drivers to delivery/logistics; corporate-driver income fell ~11%
- Supply loss is concentrated in corporate fleets – our Fleet Partner Programme targets exactly this gap



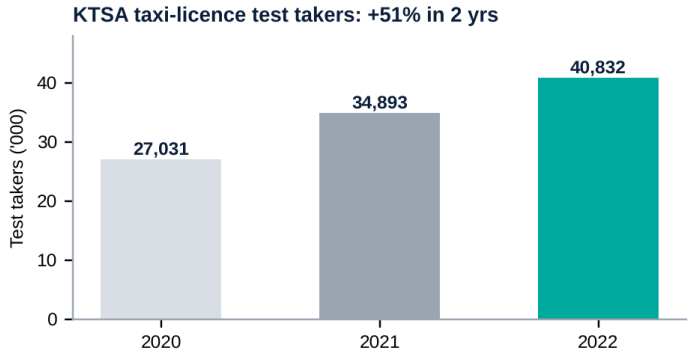
So what

- Seoul corporate fleet utilisation is now 30–40% vs ~50% pre-COVID
- Licences exist; drivers do not – co-funded recruitment and flexible shifts unlock idle cars



So what

- Older owner-drivers avoid night shifts even after rotation (bu-je) rules were lifted
- Night is the most under-served window – and where incentives are most incremental



So what

- More people are getting certified than are joining corporate fleets
- A latent pool to recruit at KTSA test centres with 'first 100 trips' support

Additional facts: 235,962 taxi drivers nationwide (Dec-2023, NJCTA) vs 265,015 (Jan-2020); Seoul licences 71.7k (49.1k individual / 22.6k corporate, 2023); 65+ drivers ≈ half of individual-taxi drivers (KTSA). Kakao T Blue ≈ 50k franchise cars (Mirae Asset, Nov-2023).

Sources: NJCTA 'Taxi vehicles & drivers' via Seoul Shinmun (29-May-2024), NewDaily (14-Feb-2024), Kookmin Ilbo (2024); Korea Transportation Safety Authority (KTSA) taxi-licence test statistics 2020–22 and driver age data; Seoul Metropolitan Government taxi licence statistics; MOLIT corporate-taxi wage study (via Edaily, 27-Mar-2024).

Regulatory landscape: rules constrain the business model but are currently moving in a challenger's favour

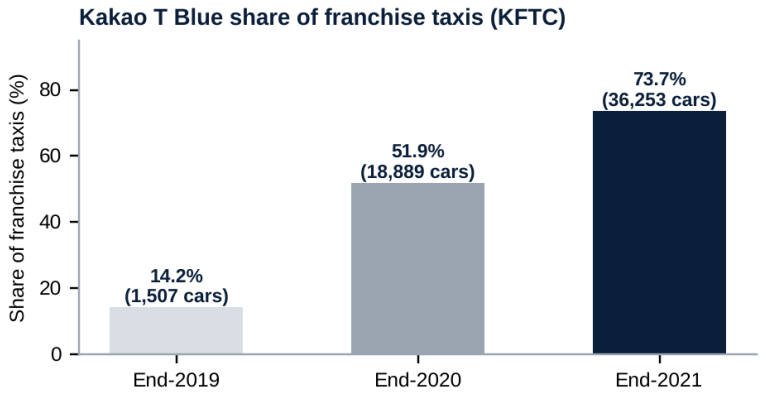
Rule / action	Status (May-2024)	Implication for SuperK-T	Our response
Passenger Transport Service Act – platform Types 1/2/3	Private-car ride-sharing effectively barred; Type 1 (own vehicles, contribution fee & quota), Type 2 (franchise), Type 3 (brokerage)	Growth must come through licensed taxis; franchise (Type 2) is the main lever	Scale Type 2/3; evaluate Type 1 for vans/premium only
KFTC v. Kakao – dispatch self-preferencing	Corrective order; provisional KRW 25.7bn (Feb-2023), final KRW 27.1bn (Jun-2023); Kakao appealed, execution stayed (Aug-2023)	Dispatch neutrality now scrutinised – limits Kakao's ability to starve rivals	Publish our dispatch principles; monitor compliance
KFTC v. Kakao – blocking rival franchise drivers	Examiner's report sent (Jan-2024), KRW 20–35bn fine sought; Kakao consent-decree offer rejected	A ruling would remove the main barrier to driver multi-homing	Document driver impact; prepare onboarding surge
FSS – Kakao Mobility accounting	Highest-tier sanction proposed (Feb-2024); FY2023 revenue restated net (KRW 601.8bn)	Management distraction; pressure to clean up fee structure	Message fee transparency to drivers
Franchise fee pressure	Kakao agreed a new 2.8% franchise product with taxi bodies (Dec-2023); launch expected from mid-2024	Our 2.5% fee edge narrows; competition shifts to earnings/hour & fairness	Keep 0% on street hails; compete on demand quality
Taxi Development Act – 40h/week monthly wage (Art. 11-2)	Due nationwide 20-Aug-2024; NJCTA & union federation call for revision (9-May-2024)	Could further cut corporate-taxi supply outside Seoul	Flexible-shift playbook; owner-driver focus
Fares & surcharges (Seoul)	Base fare KRW 4,800 since Feb-2023; late-night surcharge up to 40%	Regulated fares → platform cannot use surge pricing; incentives fill the gap	Targeted guarantees; premium tiers for yield
EV subsidies 2024	Taxi top-up raised to KRW 2.5m (from 2.0m) on top of base subsidy	Lowers cost of EV conversion for fleets/drivers	'Green' bundle; partner leasing

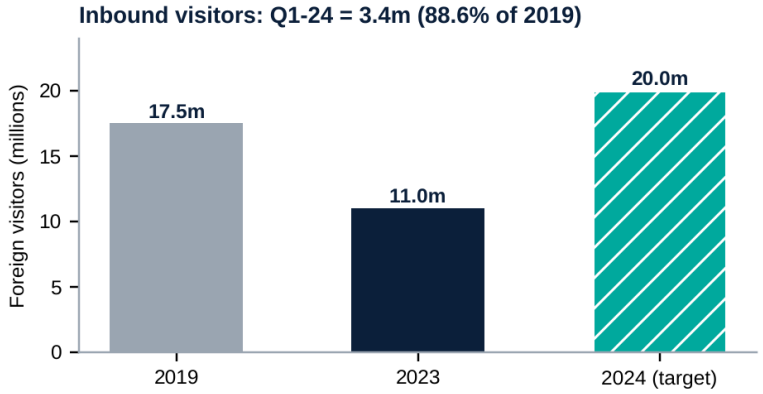
Regulatory watch-list for H2-2024 (owner: Head of Policy; reviewed monthly)

- KFTC full-commission decision on Kakao call-blocking • launch and uptake of Kakao's 2.8% franchise product • fate of the 40h/week wage rule in the 22nd National Assembly (opens 30-May-2024)
- Seoul autonomous-taxi pilot tenders in AV pilot zones • 2025 EV subsidy guidelines • government visitor-mobility app (partnership opportunity)

Sources: Passenger Transport Service Act (amended Mar-2020, effective Apr-2021); KFTC press release (14-Feb-2023); TV Chosun/Public News (30-Jan-2024); InvestChosun (7-Apr-2024); Kakao Mobility newsroom (Dec-2023); ZDNet Korea; Maeil Shinmun (9-May-2024); Seoul Shinmun (29-May-2024); Seoul Metropolitan Government (fare reform Feb-2023); Ministry of Environment (6-Feb-2024).

Competition & demand: Kakao's franchise dominance was built through dispatch advantages; visitor demand is recovering towards a record year





Player	Model	Scale indicators	Assessment
Kakao T (Kakao Mobility)	Super-app: general hailing (free to drivers) + Kakao T Blue franchise + premium, designated driver, parking	~13.3m MAU; 94.5% general hailing; ~50k Blue cars; FY23 revenue KRW 601.8bn / OP KRW 38.7bn	Dominant; regulatory overhang (KFTC, FSS, fee cap) limits aggressive moves
SuperK-T	Global app + licensed taxis: brokerage, franchise, premium (Black)	0.52m MAU (Apr-24); est. 3–4% trips; 2.5% franchise fee	Only credible #2; needs supply density
TADA (VCNC)	Franchise taxi / premium vans	~0.08m MAU (Nov-23)	Sub-scale; possible partner or driver source
i.M (Jin Mobility)	Owned fleet of large premium taxis	~0.08m MAU (Nov-23)	Niche premium; not a share threat
Banban, Macaron	Franchise (partnered with Kakao)	Largely exited	Shows cost of fighting without supply

Demand-side insights

- Taxi-hailing is a habit market: riders default to the app with the shortest ETA – share follows supply density, not advertising
- Visitors: 11.0m in 2023; Q1-2024 3.4m (88.6% of 2019); government targets 20m in 2024 and plans a mobility app for visitors – a segment where our global app is a native advantage
- Tmap holds 74% of smartphone navigation (Kakao Map 12%, Naver 7%) – the only consumer mobility asset in Korea at Kakao-like scale outside Kakao
- Late-night and peak shortages are structural (ageing owner-drivers) – a reliable 'pickup promise' is the most credible switching trigger

Sources: KFTC press release (14-Feb-2023); OECD DAF/COMP/WP3/WD(2024)6; IGAWorks Mobile Index; Kakao Mobility FY2023 business report; MCST/KTO visitor statistics (29-Apr-2024) and 2024 target (3-Jan-2024); Consumer Insight (4-Mar-2024).

Unit economics: base-fare commissions cannot carry the business – incentives must be surgical and mix must shift to premium, B2B and ads

ILLUSTRATIVE PER-TRIP ECONOMICS (SEOUL, PLANNING ASSUMPTIONS)

Item	Standard ride (launch)	Standard ride (mature)	Premium / XL ride
Average metered fare (assumption)	KRW 12,000	KRW 12,000	KRW 30,000
Platform revenue	2.5% fee ≈ KRW 300 (+ call fee where applicable)	≈ KRW 300 + call fee + ads/data	Higher take on premium service (assumption)
Driver incentive per incremental trip	KRW 1,500–3,000	≤ KRW 500 (targeted only)	Low
Rider promo per trip	KRW 1,000–2,000	≤ KRW 300 (membership-funded)	Low
Contribution	Negative (investment phase)	~Breakeven on standard rides	Positive – profit pool

Implications

- Spend only where an incentive buys ETA improvement that persists (holdout-tested); CPIT is the master metric
- Mix shift is the profit lever: premium/XL, B2B service fees, membership, in-car and wrap advertising
- Fleet-partner and EV programmes convert one-off incentives into durable supply (contracts, leases)

PHASE GATES – FUNDS RELEASED ONLY IF MET

Gate	Criteria	Funds unlocked
Gate 0 – Jul-2024	Board/region approval; baselines; ≥10 fleet LOIs; UX release-1 ready	Phase 1: KRW 45bn
Gate 1 – Dec-2024	MAU ≥0.9m; core-zone peak ETA ≤6 min; dispatch success ≥75%; active drivers ≥1.5x; CPIT -25% vs Aug-24	Phase 2: KRW 55bn
Gate 2 – Jun-2025	MAU ≥1.5m; Seoul share ≥8%; +2,500 branded cars; B2B ≥10% of GBV	Phase 3: KRW 60bn
Re-scope triggers	Gate KPIs missed by >20%, or CPIT rising two months in a row → narrow zones, pause national expansion	Hold remaining funds

Budget allocation principles

- ≥80% of 2024 incentives inside the 6 launch zones
- Driver-side spend ≥ rider-side spend until core-zone ETA ≤5 min
- Every programme has an owner, a holdout and a kill date

SCENARIO VIEW – DEC-2025 OUTCOMES (INDICATIVE)

Scenario	Key assumption	Seoul trip share	MAU	Branded fleet adds	Programme spend	Decision rule
Downside	Kakao matches fees & incentives; wage rule cuts corporate supply	6%	1.3m	+2,500	~KRW 120bn (Phase 3 scaled back)	Narrow to Seoul core + airport; focus visitors/B2B
Base	Plan executed; KFTC ruling enables multi-homing in 2025	10%	2.0m	+5,000	KRW 160bn	Proceed to regional cities in H2-25
Upside	Fast fleet uptake; Tmap entry point drives organic demand	13%	2.6m	+7,000	~KRW 175bn (accelerate)	Pull forward Busan/Incheon and premium

Sources: SuperK-T planning assumptions (to be validated with Finance); fee benchmarks from Mirae Asset (29-Nov-2023) and InvestChosun (7-Apr-2024). Average fare and incentive values are illustrative assumptions, not reported data.

Sources & methodology

- **Korea Transportation Safety Authority (KTSA)** – taxi-driver qualification test statistics 2020–22; senior-driver aptitude testing; driver age statistics (via press reports).
- **Korea National Joint Conference of Taxi Associations (NJCTA)** – 'Taxi vehicles & drivers' statistics: 235,962 drivers (Dec-2023); corporate drivers 102,320 (Dec-2019) → 70,435 (Mar-2024); Seoul corporate drivers; press conference on monthly-wage rule (9-May-2024). Reported by Seoul Shinmun (29-May-2024), NewDaily (14-Feb-2024), Kookmin Ilbo, Maeil Shinmun.
- **Korea Fair Trade Commission** – press release 14-Feb-2023 (Kakao T Blue share 14.2% → 73.7%; fine finalised at KRW 27.1bn in Jun-2023, under appeal); examiner's report on call-blocking (reported 30-Jan-2024); OECD note DAF/COMP/WP3/WD(2024)6 (general hailing share 94.46%).
- **Financial Supervisory Service / Kakao Mobility** – FY2023 business report (revenue KRW 601.8bn, OP KRW 38.7bn, net basis); InvestChosun (7-Apr-2024) on accounting sanction and 20% royalty / 15–17% rebate structure.
- **Kakao Mobility newsroom & taxi bodies** – 2.8% franchise-fee agreement (13-Dec-2023); iNews24 (30-May-2024) on mid-2024 launch timing; ZDNet Korea on Presidential instruction.
- **IGAWorks Mobile Index** – app MAU: Kakao T ~13.27m (Oct-2023); SuperK-T ~0.52m (Apr-2024); TADA ~0.08m and i.M ~0.08m (Nov-2023).
- **Mirae Asset Securities** (29-Nov-2023) – Kakao T Blue ~50k cars; effective platform fees (Kakao 3–5%, challengers 2.5%).
- **Seoul Metropolitan Government** – taxi licences (2023: 71,693 = 22,603 corporate + 49,090 individual); fare reform Feb-2023; late-night supply (NewDaily: 20,480 taxis/hr end-2023 vs 26,566 pre-COVID); autonomous-driving pilot zones.
- **MCST / Korea Tourism Organization** – 11.03m visitors (2023); Q1-2024 3.403m (88.6% of 2019); 2024 target 20m; plans for a visitor mobility app.
- **Ministry of Environment** – 2024 EV subsidy reform (taxi top-up KRW 2.5m); **CarIsYou Data Lab** via Economist Korea (EVs 37.7% of new taxis, Jan–Aug 2023).
- **Consumer Insight** (4-Mar-2024) – Tmap 74% of smartphone navigation users; **MOLIT** wage-system study (corporate-driver income KRW 2.48m → 2.20m) via Edaily (27-Mar-2024).
- **Company announcements** – SuperK-T rebrand (29-Feb-2024; app update early March 2024; JV with Tmap Mobility since April 2021).

Methodology & key assumptions

- Time-stamp: analysis reflects public information available as of May 2024; no non-public competitor data used
- SuperK-T baselines are proxied from public data on Korea's #2 taxi-hailing platform (formerly 'UT', rebranded in March 2024); internal data to replace proxies in Phase 0
- Seoul trip-share baseline (~3–4%) estimated from MAU ratios; to be validated with internal trip data and TIMS (KTSA taxi operation data)
- MAU figures mix months (Oct-23 to Apr-24) because of data availability – directionally robust (≈25x gap)
- All targets, investment figures, average fares and incentive levels are planning estimates for discussion, not forecasts
- Currency: KRW; 'bn' = billion; GBV = gross booking value; CPIT = cost per incremental trip

Sources: Compiled by SuperK-T Korea Strategy team. Publicly available information as of May 2024.